18 Simple interest is paid on £2000 at a rate of 1.5% per year for 5 years.

Work out the total amount of interest paid by the end of 5 years.

1% of £2000 = £20

0.5% of £2000 = £10

1.5% for one year = £30

Interest for 5 years = 5 × £30 = £150

1 mark
Find 1.5% of the original £2000.

2 marks total
Simple interest uses the same £30 each year.

£ 150

(Total for Question 18 is 3 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN